

The complaint

Mrs R complained because AXIS Specialty Europe SE declined her insurance claim for a damaged fence.

Mrs R is represented in this matter by her husband; however as she's the policyholder and to keep things simple I will only refer to Mrs R.

Similarly, although other businesses have been involved in the claim AXIS Specialty Europe SE is the insurer and is ultimately responsible for how the claim was handled. So, again, to keep things simple I will only refer to AXIS.

What happened

Mrs R claimed under her buildings insurance policy for damage caused to a boundary fence by a storm. AXIS declined the claim on the basis that storm damage to fences was excluded from the insurance cover it provided. Mrs R complained to AXIS about its decision. AXIS reviewed the matter but maintained its stance.

Our investigator concluded that the complaint shouldn't be upheld. In summary, she felt the damage to the fence was specifically excluded from cover so AXIS's decision to decline the claim was fair. Mrs R disagreed so the matter has been passed to me to review.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

The policy schedule and policy booklet set out what damage AXIS is and isn't prepared to provide cover for.

Fences fall within the policy definition of 'buildings':

"The home and its decorations; fixtures and fittings attached to the home; permanently installed swimming pools, fixed hot tubs, fixed spas, tennis courts, drives, patios and terraces, walls, gates and fences and fixed fuel tanks you own or for which you are legally liable within the premises named in the schedule".

So any claim for damage to a fence falls for consideration under the buildings section of the policy booklet.

For any insurance claim to be successful it must be shown in the first instance that the loss or damage claimed for was caused by an insured peril. The policy booklet set out, in a box format, what the insured perils are. The left-hand side of the box is headed 'What is covered' and says *"This insurance covers the buildings for loss or damage directly caused by:"*. A list of insured perils follows – including "3. storm, flood or weight of snow".

However, a claim isn't automatically successful just because it's been shown the loss or damage claimed for was caused by an insured peril. That's because policies contain various exclusions, because the insurer wants to limit its liability in certain circumstances. In this case, the policy booklet set out, again in a box format, what the exclusions are. The right-hand side of the box is headed 'What is not covered' and says "*We will not pay*". A list of exclusions follows alongside each insured peril.

Of relevance here, three exclusions are listed in the right-hand side column alongside the storm, flood or weight of snow peril:

- a) the first £100 of every claim
- b) for loss or damage caused by frost or by subsidence, heave or landslip other than as covered under Section One – Buildings, What is covered, item number 9
- c) for loss or damage to domestic fixed fuel-oil tanks in the open, swimming pools, fixed hot tubs, fixed spas tennis courts, drives, patios and terraces, gates and fences.

For completeness, the policy schedule listed a number of endorsements that are applicable to the policy. Two are relevant to the 'storm, flood or weight of snow' peril but neither, in my opinion, affect Mrs R's claim. This is because the first one (numbered 116) simply said that the excess for a flood claim is increased from £100 to £2,500; and the second one (numbered 258) just added an additional exclusion to the peril for damage caused by a change in the water table level.

What all this means is that the policy provides cover for storm damage to the 'buildings', but, given the exclusion at c) above, storm damage to fences is specifically excluded from the cover AXIS is prepared to provide. I therefore conclude that the damaged fence isn't covered by the policy on this occasion and that AXIS's decision to decline the claim was fair.

Mrs R has made various arguments in support of her case, including:

- it's wrong for AXIS to focus on the specific words "gates and fences" and it creates ambiguity if its logic was applied to the other sections falling under the 'What is not covered' heading – I disagree. In my view, the wording in the policy is clear and unambiguous. The left-hand column shows the policy covers storm damage to buildings; and the right-hand column shows three specific scenarios where AXIS has chosen to reduce its liability for storm damage – one of which is to fences. So, damage to buildings caused by storm is covered, but not storm damage to fences.
- the three paragraphs in the right-hand column should be read in total rather than focussing on specific words – I disagree; the three paragraphs under a), b) and c) are separate and should be read separately ie for a claim under the storm, flood, snow peril AXIS won't cover the first £100 of any claim, AXIS also won't cover damage caused by frost, subsidence etc, and AXIS also won't pay for damage to a fence (amongst other things).
- fences are included in the policy definition of 'buildings' and storms where winds exceed 47mph fall within the policy definition of 'storm' – this point isn't disputed; but fences being included in the definition of buildings doesn't mean storm damage to fences is covered by the policy.
- storm or fences isn't mentioned in the general exclusions part of the policy, yet AXIS relied on an exclusion it said was standard in the insurance industry – it doesn't matter that there's no 'general' exclusion relating to storms or fences as there's a specific exclusion for fences listed under the storm peril; I think AXIS's reference to a standard

exclusion is in respect that most policies on the market have an exclusion for storm damage to fences.

- clause 4 in the policy modifies the terms of the policy for the 'storm' peril; she felt this was the most important text when considering her claim – the clause Mrs R refers to is in the Endorsements section of the policy booklet and is headed 'Storm Exclusion Clause'; the policy schedule lists the endorsements that apply to the policy and 'clause 4' isn't one of the endorsements listed; it doesn't therefore apply to Mrs R's claim.

In closing, Mrs R has told us that she's been trying to get insurance for the property through local brokers without success. She felt other insurers refusing to provide cover seemed to be because AXIS had 'backlisted' her getting a new policy. This issue doesn't form part of this complaint so it's not something I've considered. If Mrs R wishes to take the matter further she will need to complain to AXIS in the first instance. I can nevertheless confirm that there is no industry 'blacklist'.

My final decision

I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs R to accept or reject my decision before 18 January 2026.

Paul Daniel
Ombudsman